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Simple groups

Group accounting under IFRS

Contact information

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Why bother…?

- The owners of the parent or future investors should see the performance of the group
- There should be no puffer items
- This will tell you something…
- The technology in IFRS is not governed it is the same as everywhere (I assume you know the basics)

Legal entity vs. Business entity

Taxation, legal proceedings, responsibility (?), etc…

Performance, Net assets, etc. from the point of view of the SHAREHOLDER

The relevant standards and “almost” standards

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Sets the main rules of group accounting.

IFRS 10

IAS 28R

Explains what to do with associates and deals with equity accounting

IFRS 11

Joint arrengements!

IFRS 3

The heart of everything ☺ Deals with business combinations (the beginning…)

IFRS 10
CONCEPTUAL RULES

IFS 10 Objective

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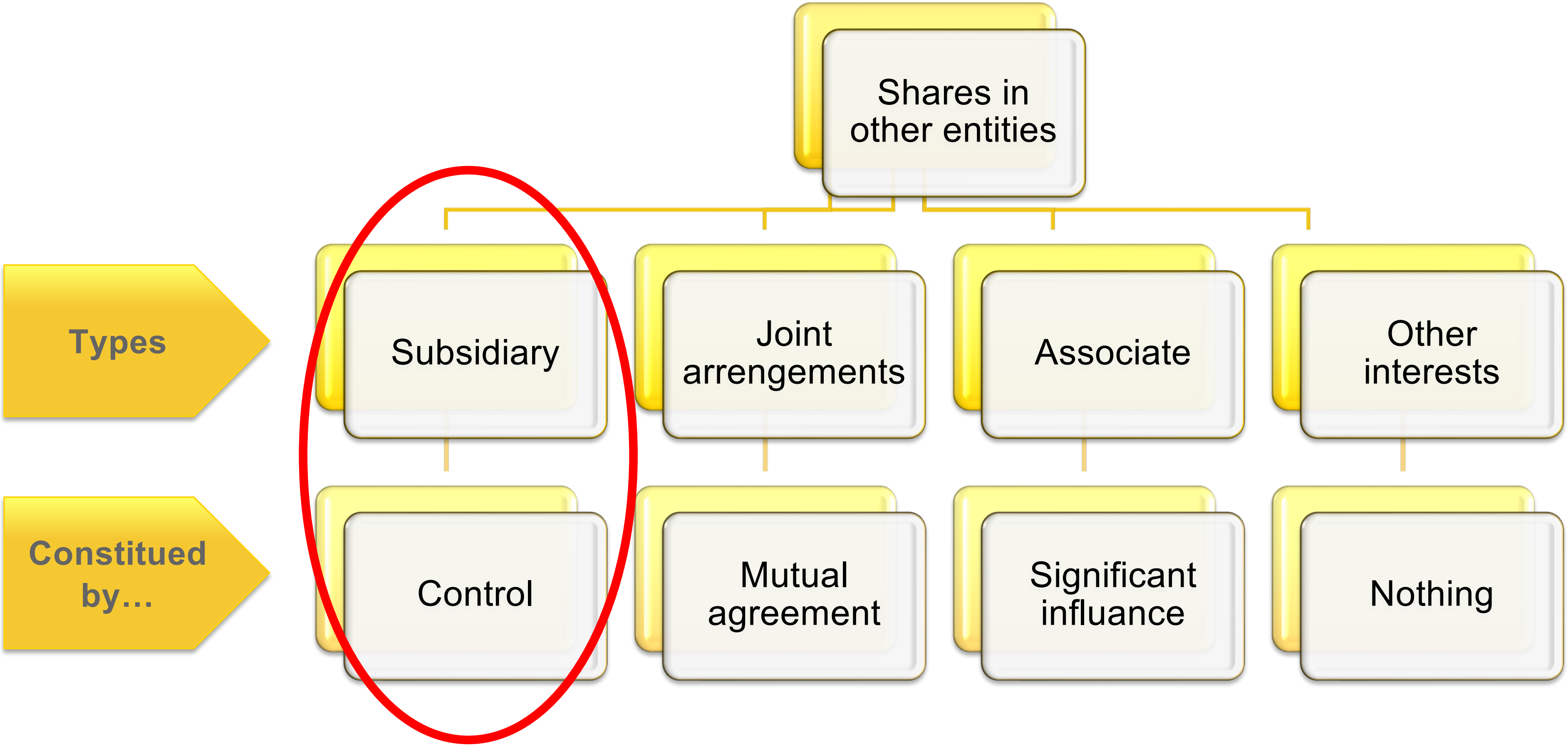
- The standard applies to:
  - the preparation and presentation of **consolidated financial statements** for a **group** of entities under the **control** of a **parent**
  - accounting for investments in **subsidiaries,** joint ventures and associates when an entity presents separate financial statements
- **Consolidated financial statements** are the financial statements of a **group** presented as those of a single entity

IFRS 10 Key Definitions

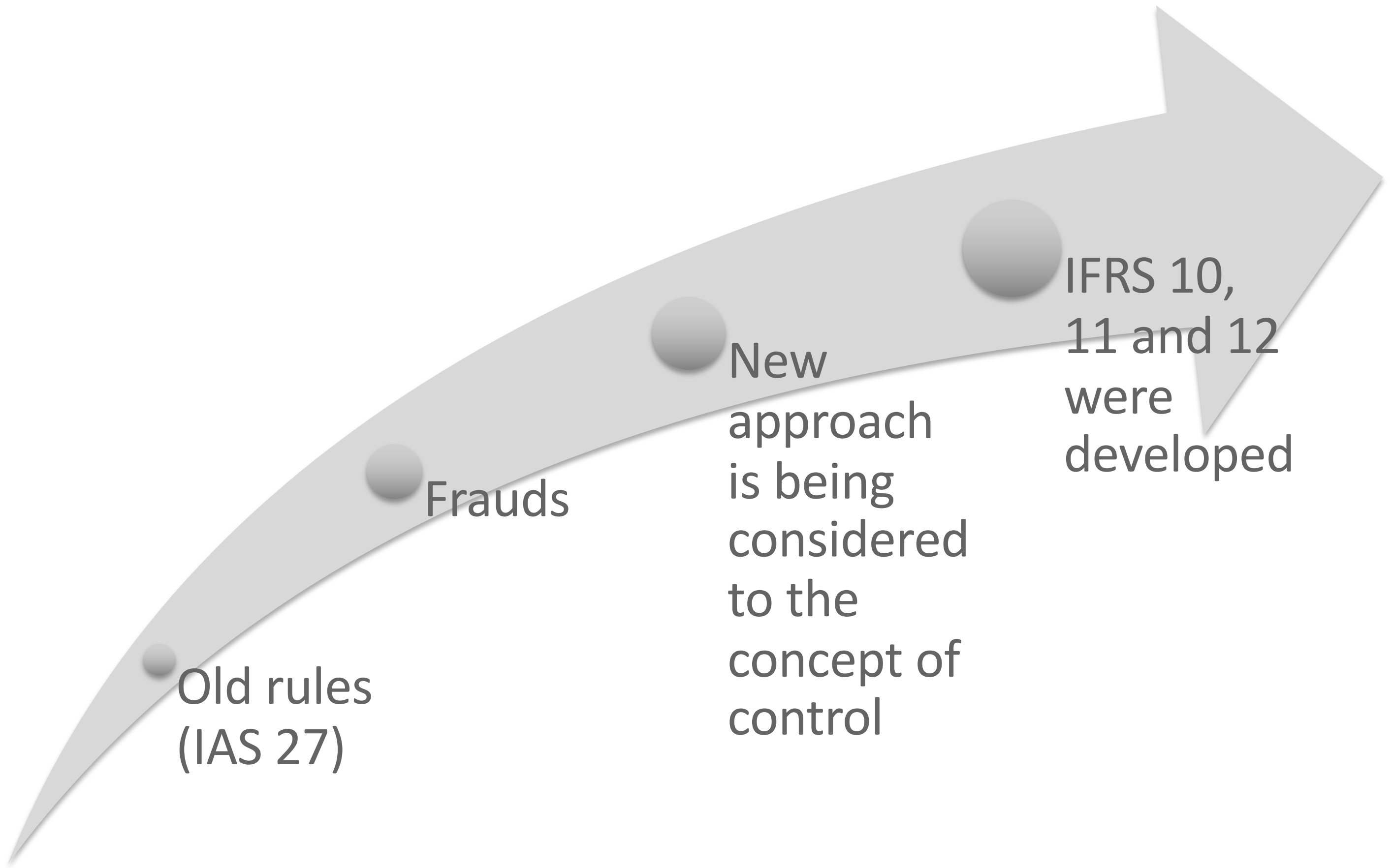
- A **group** is a parent and all its subsidiaries
- A **parent** is an entity that has one or more subsidiaries
- A **subsidiary** is an entity that is controlled by another entity (the parent)
- **Control** … this is the key! See next slides!
- **Minority / Non-controlling interest** is that portion of the profit or loss and net assets attributable to equity interests that are not owned, directly or indirectly through subsidiaries by the parent

BACKGROUND, OBJECTIVES AND CORE PRINCIPLE

Classification entities



The timeline



Background, objectives and core principle

Background

- Inconsistent application of the concept of control due to perceived conflict between IAS 27 and SIC-12 (the "old rules")
- Global financial crisis highlighted the lack of transparency about risk of exposure from off-balance-sheet entities/interests

Objectives

- Develop a single control model that is applicable to all types of entities to eliminate the perceived inconsistency between IAS 27 and SIC-12
- Improve disclosures

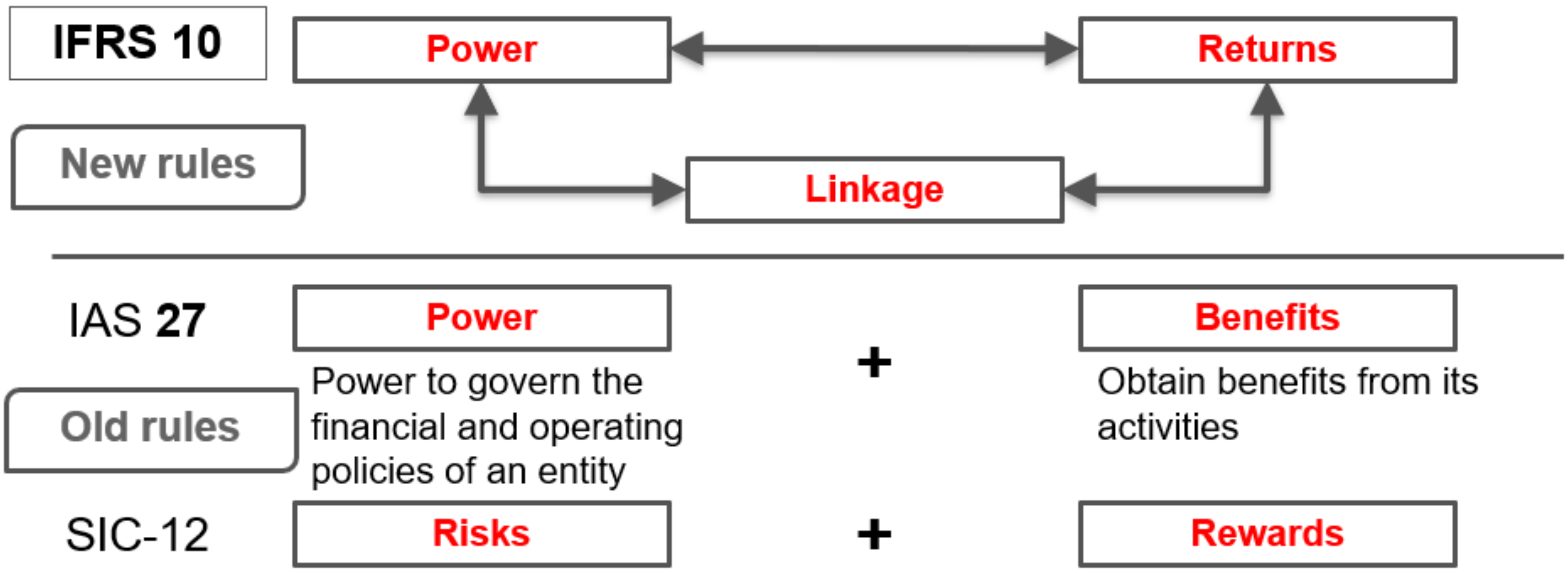
Core principle – remained unchanged

- A group presents consolidated financial statements as those of a single economic entity
- Consolidated financial statements include all controlled entities

NEW DEFINITION OF CONTROL

New definition of control

“An investor controls an investee when it is exposed, or has rights, to variable **returns** from its involvement with the investee and has the ability to affect those returns through its **power** over the investee.”



ASSESSING CONTROL

Assessing control: overview

Activities

Identify which activities of the investee are considered to be the 'relevant activities'; i.e., those that affect the investee's returns.

Power

Determine which party, if any, has power; that is, having existing rights that give it the current ability to direct the relevant activities.

Returns

Assess whether the investor is exposed, or has rights, to *variable returns* from its involvement with the investee.

Purpose and design

Continuous assessment

Identifying relevant activities: overview

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Activities

Identify which activities of the investee are considered to be the 'relevant activities’; i.e., those that affect the investee‘s returns.

- **Examples** of activities that may affect investee’s returns:
  - Determining or changing operating and financing policies
  - Making capital decision
  - Appointing, remunerating and terminating employment of service providers or key management personnel
- If two investors both direct different relevant activities, one has to identify which investor can **most** significantly affect returns
- Purpose and design

Activity 1 debrief: identifying relevant activities – example 1

- Two investors, C and D, form an investee E to acquire, dispose and manage an investment property portfolio (fund).
- Investor C is responsible for acquisitions and disposals of the investment properties of the portfolio whilst investor D is responsible for the management of the existing investment properties of the portfolio.
- The investment agreement states that the fund will hold no more than five investment properties at any one time, and indicates a planned Internal Rate of Return (IRR) on each property.
- Suppose an investment property achieves an IRR less than planned for three consecutive years. In that case, investor C is required to evaluate whether the investment property needs to be replaced, considering the forecast of the respective investment property, the overall return of the portfolio of investment properties and and available properties in the market.

Activity 1 debrief: identifying relevant activities – example 1 (cont.)

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Key points

- The level of activity associated with the acquisition and disposal of investment properties is based on the expected IRR of both the individual investment properties and the fund.
- If IRR levels are expected to be achievable and realistic on the properties initially acquired, then the level of acquisition and disposal activities would be low and the most relevant activity will therefore be the management of the investment properties.
- If the level of activities relating to acquisitions and disposals is high and is expected to remain high, this may indicate that the acquisitions and disposals of investment properties are the most relevant activity.

Activity 1 debrief: identifying relevant activities – example 2

- Investor A transfers receivables to investee B, an entity created solely for the purpose of purchasing and servicing those receivables.
- Investee B fully funds the acquisition of the receivables by issuing two different tranches of debt: a senior tranche (90% of debt) to the market and a junior tranche (10% of debt) to investor A.
- There are few, if any, activities to perform once investee B is set up unless the counterparties to the receivables default on payment.
- Investor A retains the customer relationships and is responsible for managing those receivables in the event of default. A third-party servicer collects the cash flows from the receivables and passes them to the investors.

Activity 1 debrief: identifying relevant activities – example 2 (cont.)

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Key points

- The significant relevant activity is the management of the receivables upon default, as this activity significantly affects investee B's returns.
- A has the ability to make decisions about the relevant activity.
- A has exposure to variable returns from investee B.

Therefore, A will consolidate B.

Assessing power: overview

- Main aspects of power:
  - Power arises from rights.
  - Power is the current ability to direct and need not be exercised.
  - Power relates to direction of the relevant activities.
- Other considerations:
  - Evidence that the investor directed activities in the past is an indicator of power, but is not conclusive.
  - An investor that holds only protective rights cannot have power over an investee.

Power

Determine which party, if any, has power; that is, having existing rights that give it the current ability to direct the relevant activities.

Returns

Assess whether the investor is exposed, or has rights, to variable returns from its involvement with the investee.

Substantive rights

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"Power is the existing rights that give an investor the current ability to direct the relevant activities."

- Rights can either be substantive or protective.
- Factors to consider in assessing whether a right is substantive:
  - Are there **barriers** that would prevent the holder from exercising their rights?
  - Do the holders have the **practical ability** to exercise their rights when exercise requires agreement by more than one investor?
  - Would the investor that holds the rights **benefit** from their exercise of conversion?
  - Are the rights **currently exercisable or convertible**?

Example 1: Potential voting rights – Management intention

Cuddles, Flippy and Giggels set up Happy Tree Friends Co. Cuddles owns 60% of the voting shares, Flippy and Giggels have the rest of the voting shares (20-20%). Giggels has an option, which grants that upon request Cuddles and Flippy shall sell the half of their voting shares to her. Giggels does not want to call the option.

Who controls Happy Tree Friends Co.?

Example 2: Potential voting rights – Financial ability

Entities A and B own 55% and 45% respectively of the ordinary shares that carry voting rights of entity C. Entity B also holds debt instruments that are convertible into ordinary shares of entity C at a substantial price and would require entity B to borrow additional funds to make the payment. If the debt were to be converted, entity B would hold 70% (A's interest would reduce to 30%).

Required

Who should consolidated entity C?

Assessing returns

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- Can be positive, negative or both
- Examples:
  - Dividends, distributions of economic benefits, changes in value
  - Remuneration, fees, residual interests, tax benefits
  - Synergistic returns, saving costs, economies of scale
- Returns that appear ‘fixed’ may actually be ‘variable’
  - Bond with ‘fixed’ interest payments – exposed to credit risk
  - Fixed fee for managing investment – exposed to performance risk
- Exposure to returns is an indicator of control:
  - Greater the exposure greater incentive to obtain power

Returns

Assess whether the investor is exposed, or has rights, to variable returns from its involvement with the investee.

What is different/more explicit?

- Power with less than majority voting rights
- Potential voting rights
- Delegated rights
- Power over specified assets (‘silos’)

Power with less than majority of voting rights

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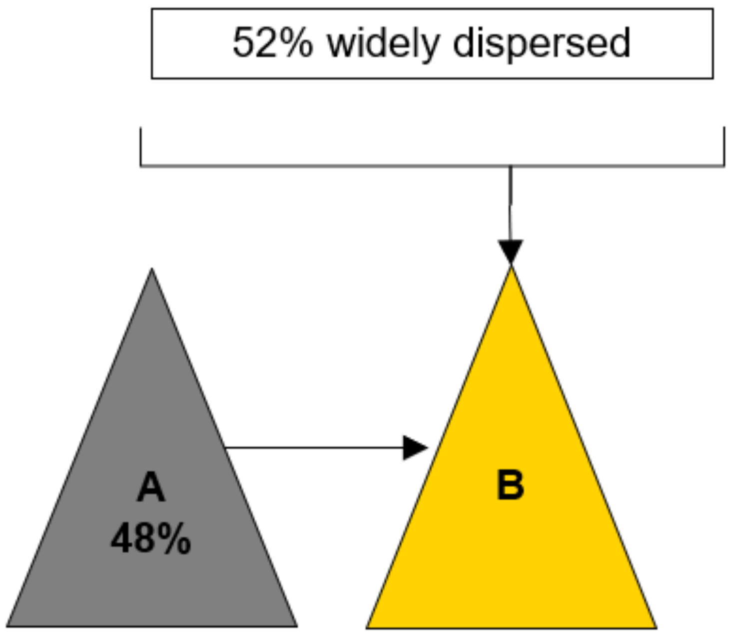
- An investor may have the power to direct the relevant activities with less than half of the voting rights.
- All facts and circumstances must be considered:
  - Contractual arrangements with other shareholders
  - Contractual rights arising from other arrangements
  - The investor’s voting rights: size of the investor’s holding of voting rights relative to the size and dispersion of other vote holders (**de facto control**)
  - Potential voting rights held by the investor and other parties

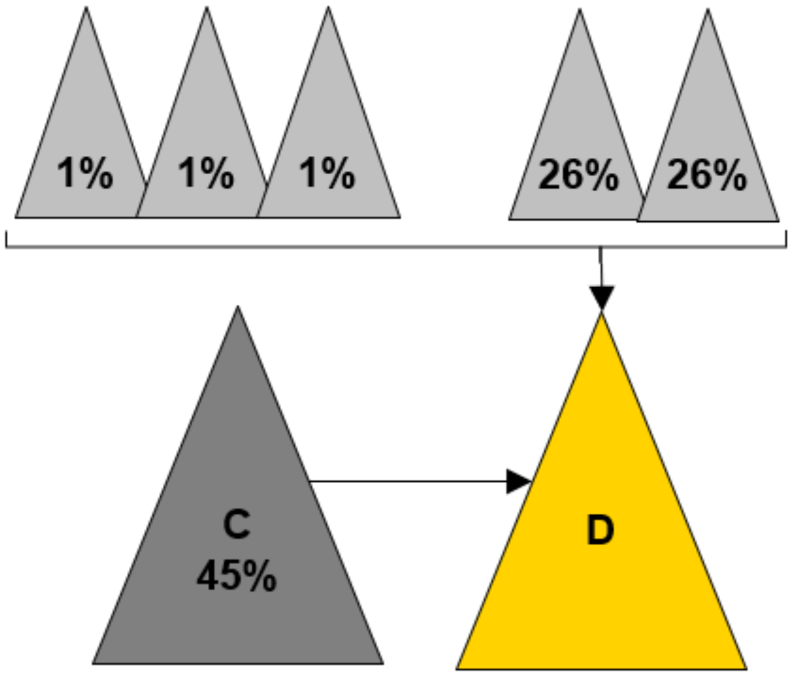
If it is not clear from considering these factors that the investor has power, the investor does not control the investee.

Assessing power – power with less than majority of voting rights

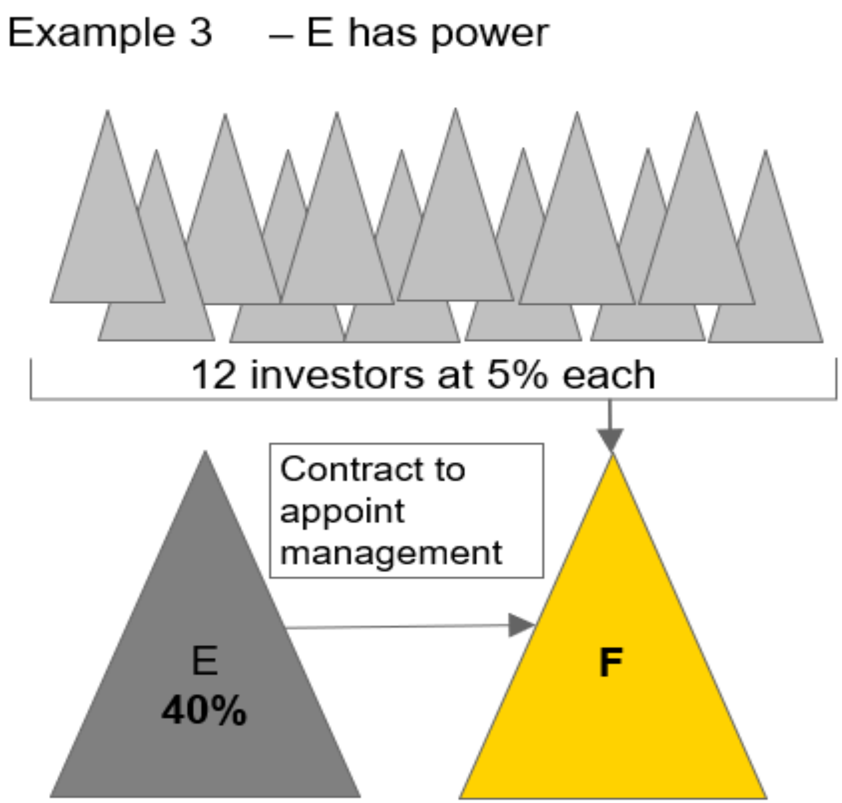
Example 1 – A has power

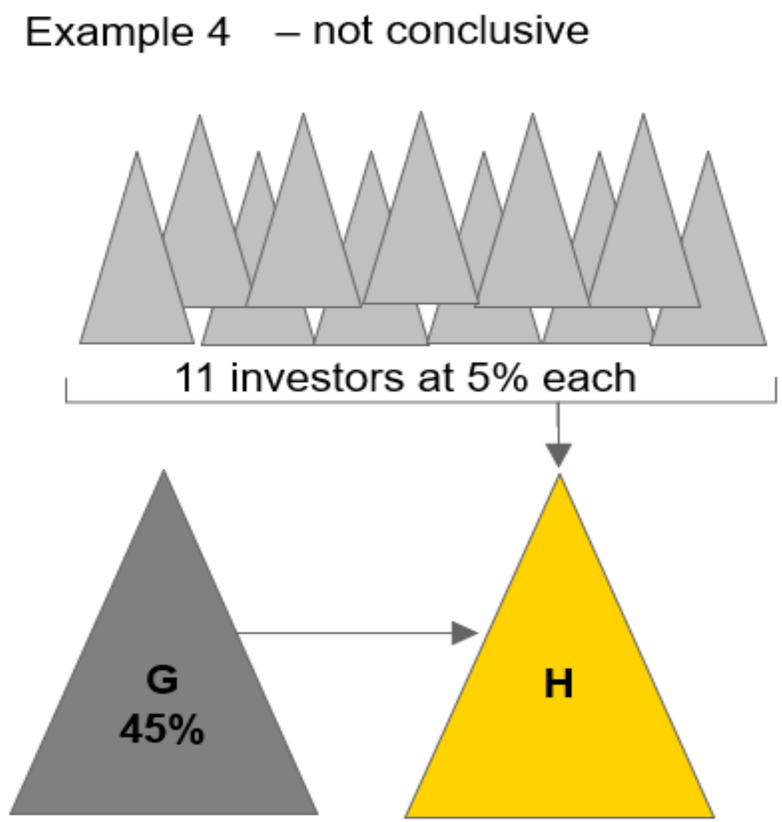


Example 2 – C does not have power

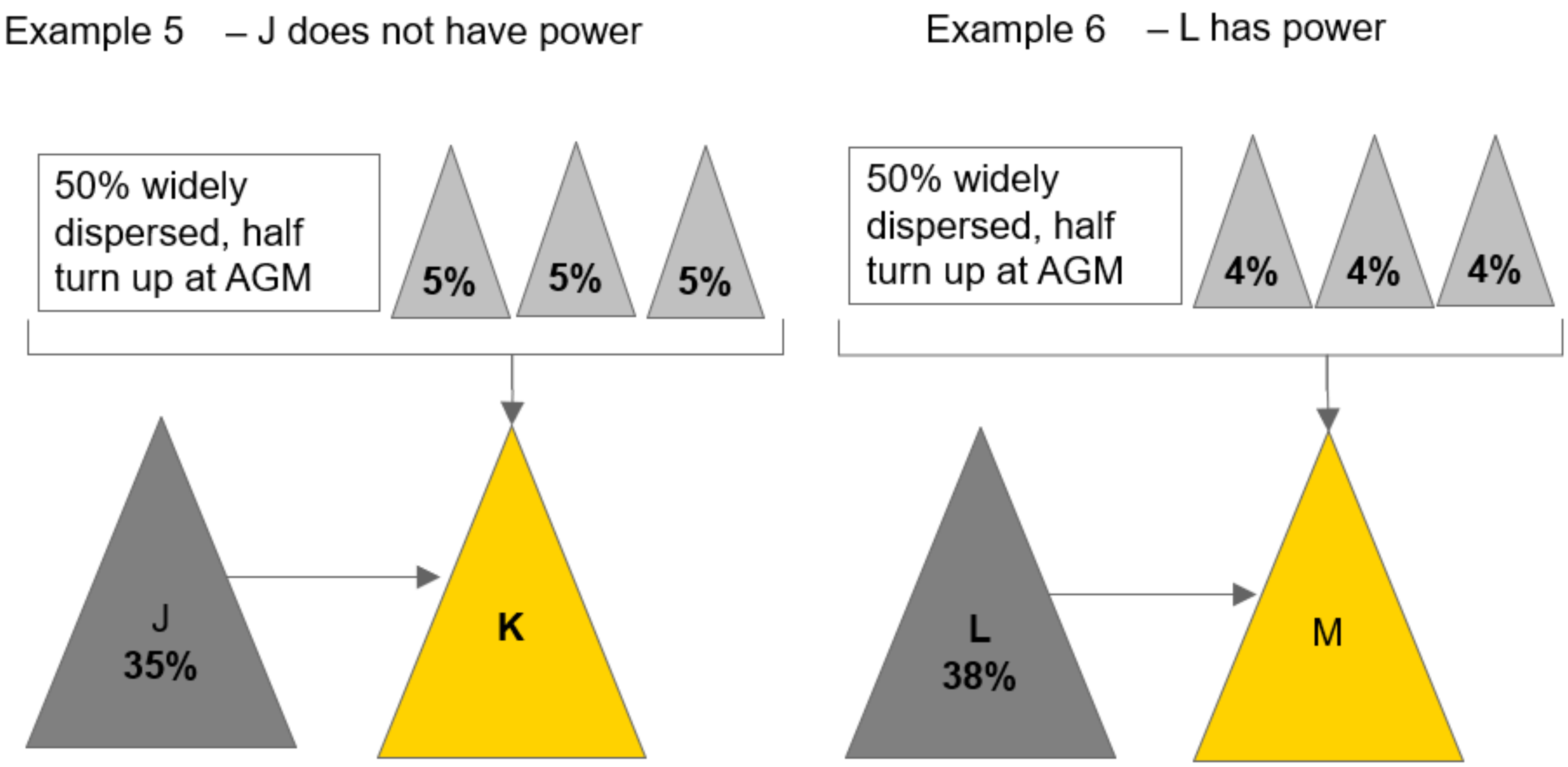


Assessing power – power with less than majority of voting rights (cont.)





Assessing power – power with less than majority of voting rights (cont.)



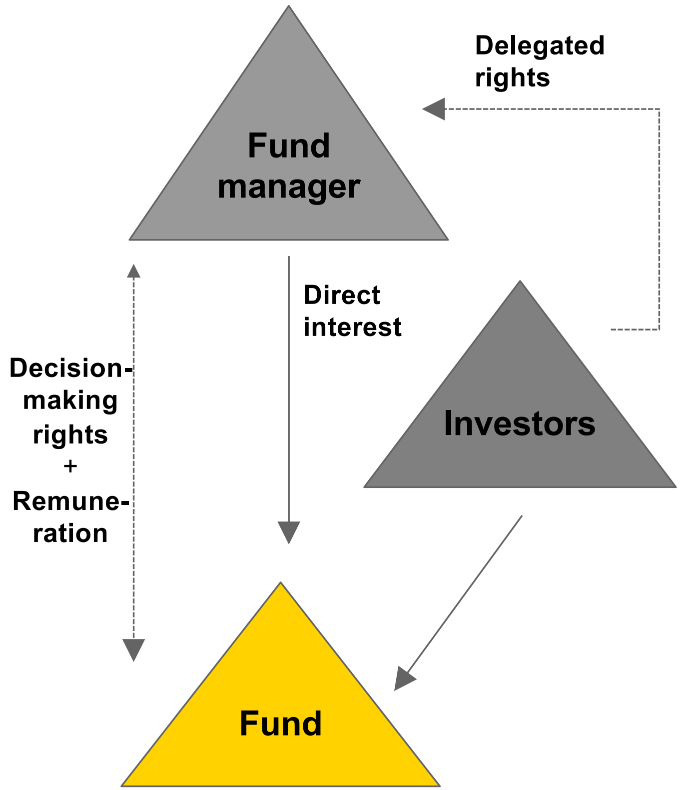
Delegated rights – link between power and returns

More likely principal	More likely agent
Broad scope of decision-making powers	Narrow scope of decision-making powers
Removal rights Large number of parties	Removal rights Single party or small number of parties
Remuneration not commensurate with services provided	Remuneration is commensurate with services provided
Greater exposure to variability of returns from all interests	Little exposure to variability of returns from all interests

Decision-maker

Based on considering all factors, rather than a single factor

Delegated rights: examples



	Example 1	Example 2	Example 3
Decision-making scope	Broad discretion	Broad discretion	Broad discretion
Rights held by other investors	Simple majority, for cause	Simple majority, for cause	Independent board, for any reason
Remuner-ation	1% of NAV 20% of profits if hurdle rate achieved	1% of NAV 20% of profits if hurdle rate achieved	1% of NAV 20% of profits if hurdle rate achieved
Other interests	2% direct interest	20% direct interest	20% direct interest
Conclusion	Agent	Principal	Agent

Presentation of Consolidated Financial Statements

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- **A parent SHALL present consolidated financial statements in which it consolidates its investments in subsidiaries**
- **A Parent NEED NOT present consolidated financial statements if and only if:**
  a) the parent is a wholly-owned subsidiary, or is a partially-owned subsidiary and the minority shareholders do not object
  b) the parent's debt or equity instruments are not traded in a public market, and
  c) the ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with IFRSs

END OF THE CONTROL CHAPTER

Non controlling interest (NCI)

- This represents the part of the group that is CONTROLLED but not owned by the shareholders of the Group!
- NCI shall be presented within equity, SEPARATELY from other items.
- NCI will be presented as a SINGLE line
- Previous name: minority interest

Scope of Consolidated Financial Statements

- The consolidated accounts must include ALL of the parent’s subsidiaries/both domestic and foreign. There is NO exemption for:
  - a subsidiary whose business is of a different nature from the parent’s. In this case, the subsidiary must be consolidated and information about the different business activities can be disclosed in accordance with *IFRS 8: Operating Segments.*
  - a subsidiary that operates under severe long-term restrictions impairing the subsidiary's ability to transfer funds to the parent.

Scope of Consolidated Financial Statements

- Subsidiaries are NOT consolidated if the parent loses control
  - e.g. subsidiary becomes subject to the control of a government court, administrator or regulator or as a result of a contractual agreement

- If the parent decides to sell a subsidiary:
  - **The parent must continue to consolidate such a subsidiary until disposal date.**
  - If IFRS 5 criteria are met, the results will be shown as a discontinued operation in the consolidated income statement and assets and liabilities will be shown as ”Held for Sale” in the consolidated balance sheet.

CONCEPTUAL RULES – WHAT TO DO?

Consolidation procedures

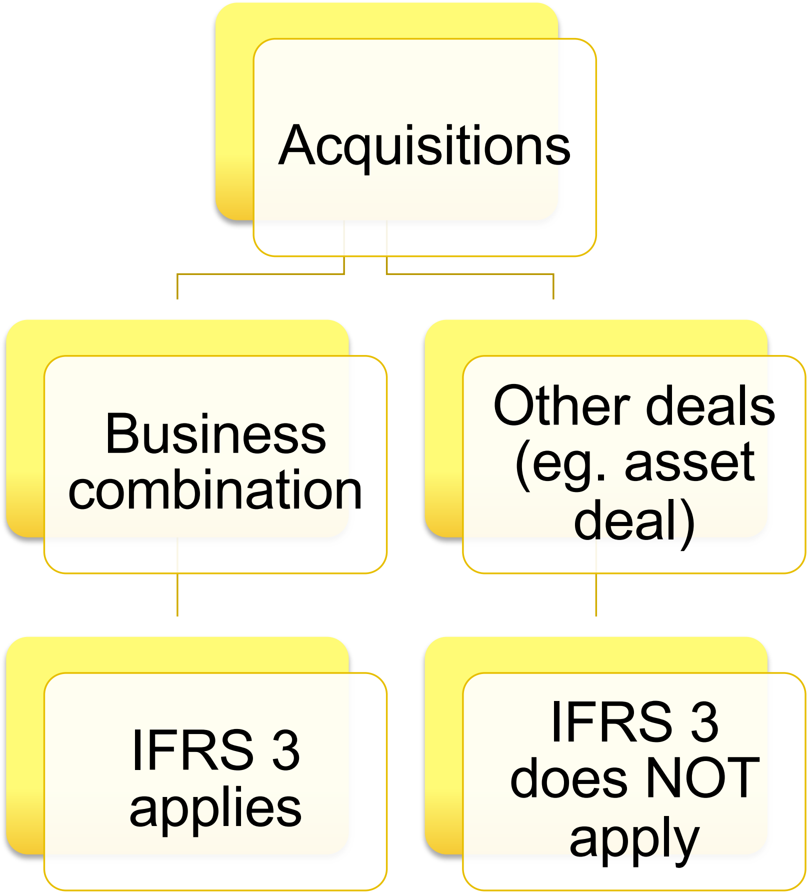
- Financial statements are combined on a line by line basis

- Consolidated financial statements should present financial information about the group as that of a single economic entity:
  - Eliminate the parent’s investment in the subsidiary against their share of equity in the subsidiary
  - Non-controlling Interests are identified
  - Intra group balances, transactions, income and expenses shall be eliminated in full

Well, this is not too much… IFRS 10 is not a user friendly standard. All you know that you must eliminate in FULL!

What is a business combination?

A transaction or other event in which an **acquirer obtains** control of one or more **businesses.** **Transactions sometimes** referred to as ‘true mergers’ or ‘mergers of equals’ are also **business combinations as that term is used in this IFRS.**



Okay, now I know what I have. What's next?

Identify the acquirer and the day of acquisition!

How much is cost of control?

Only FIRST consolidation

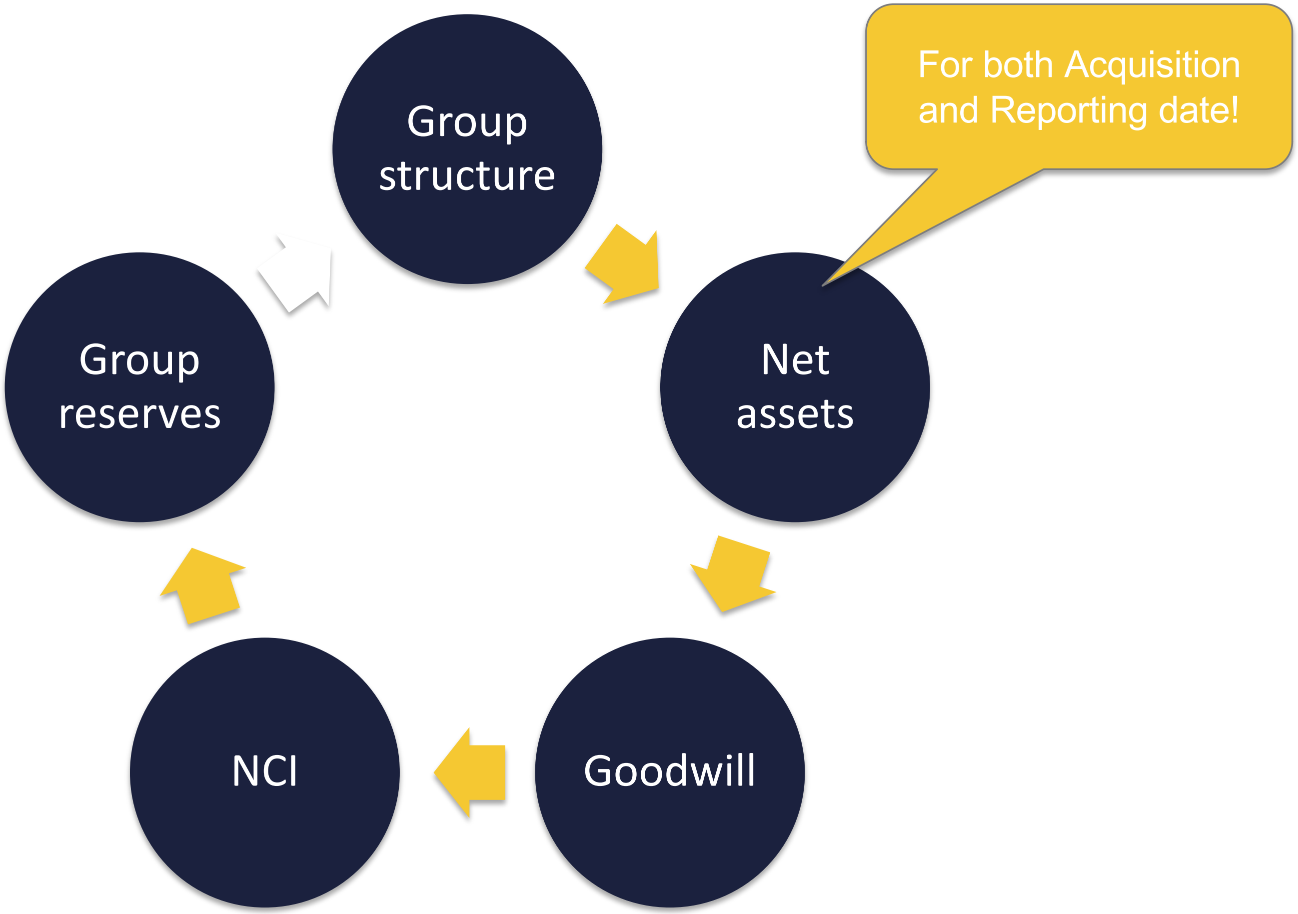
Calculate goodwill or gain and !

ALWAYS

Do the needed year end procedures!

CONSOLIDATING THE SFP

So what I do at the end of every period?



W2: Net asset working

- This must be done for two dates:
  - acquisition date – this will never change
  - reporting date – this WILL change later
- For the first time ONLY! FRESH START ACCOUNTING MUST be used
- All the net assets of the acquired shall be revalued to fair value
- These new values will be included in the group statements (the previous numbers are disposed)
- The revaluation will effect the goodwill.

Yes, and what else? Those were just workings!

- Every entity has separate financial statement
- The separate statements are combined
- The intercompany balances are eliminated

- REMEMBER! Everything is mine, from the day I have acquired control
  - statement of financial position (include on reporting date)
  - statement of comprehensive income (include proportionally)
  - statement of changes in the equity (include proportionally)
  - statement of cash-flows (include proportionally)

Group reserve working (W5)

NEVER EVER FORGET!

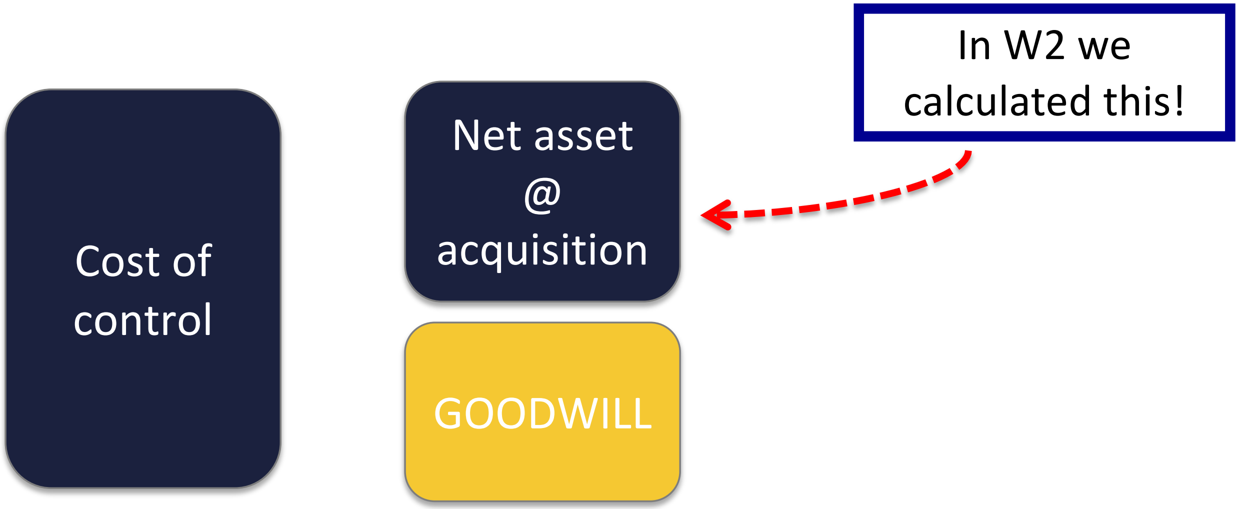
GROUP FINANCIAL STATEMENTS ARE DONE FOR THE SHAREHOLDERS OF THE PARENT

- Issued capital (share capital): only the share capital of the parent [the same rule will apply to premium]
- Other reserves: they only belong to the group from the date of the acquisition (previous reserves are NOT group reserves)
- Investments of the consolidated companies may not be recognized in the group statement, since…

Calculation of the goodwill (W3)

- Goodwill: "An asset representing the future economic benefits arising from other assets acquired in a **business combination that are** not individually identified and separately recognised." So you pay this in EXCESS – represents HOPE ☺

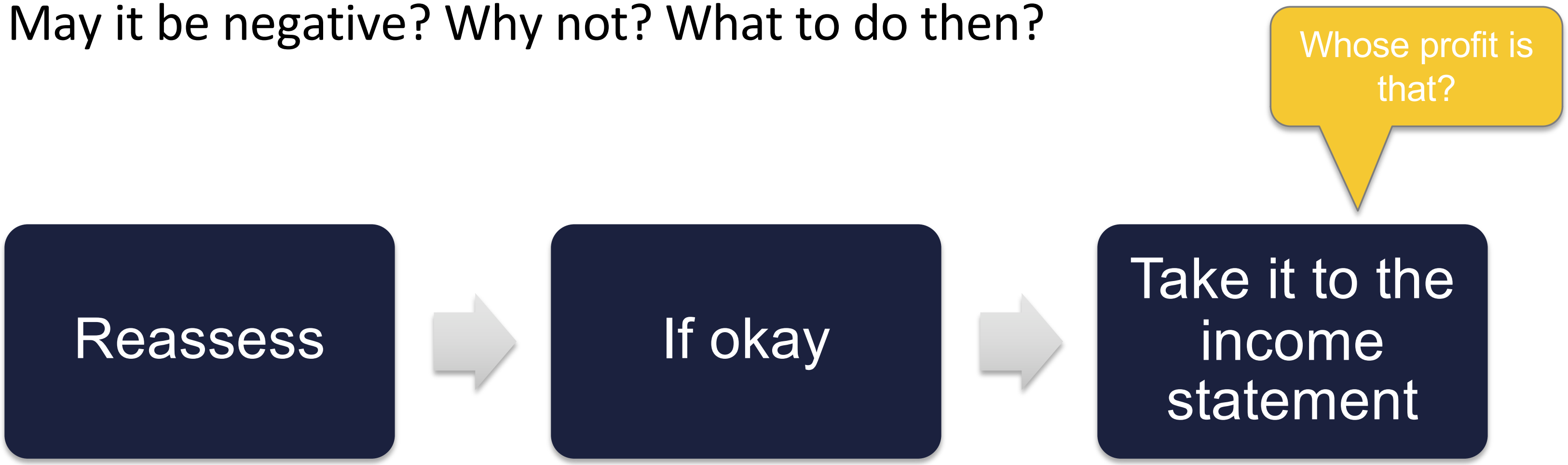
- Goodwill is then…



Goodwill (W3)

- What is included in cost of control?
  - cash payments
  - issued shares of the parent (be careful with pricing those shares)
  - other considerations (see later)

- May it be negative? Why not? What to do then?



A little detour…

FORMS OF BUSINESS COMBINATIONS

Legal Form of Combination

Merger

- Occurs when one corporation takes over all the operations of another business entity and that other entity is dissolved.

Consolidation

- Occurs when a new corporation is formed to take over the assets and operations of two or more separate business entities and dissolves the previously separate entities.

Mergers:
A + B = A   X + Y = X

Company A acquires the net assets of Company B for cash, other assets, or Company A debt/equity securities. Company B is dissolved; Company A survives with Company B’s assets and liabilities.

Company X acquires the equity of Company Y from its shareholders for cash, other assets, or Company X debt/equity securities. Company Y is dissolved. Company X survives with Company Y’s assets and liabilities.

Consolidations:
E + F = “D” K + L = “J”

Company D is formed and acquires the net assets of companies E and F by issuing Company D stock. Companies E and F are dissolved. Company D survives with the assets and liabilities of both dissolved firms.

Company J is formed and acquires the shares of companies K and L from their respective shareholders by issuing Company J shares. Companies K and L are dissolved. Company J survives with the assets and liabilities of both firms.

Keeping the Terms Straight

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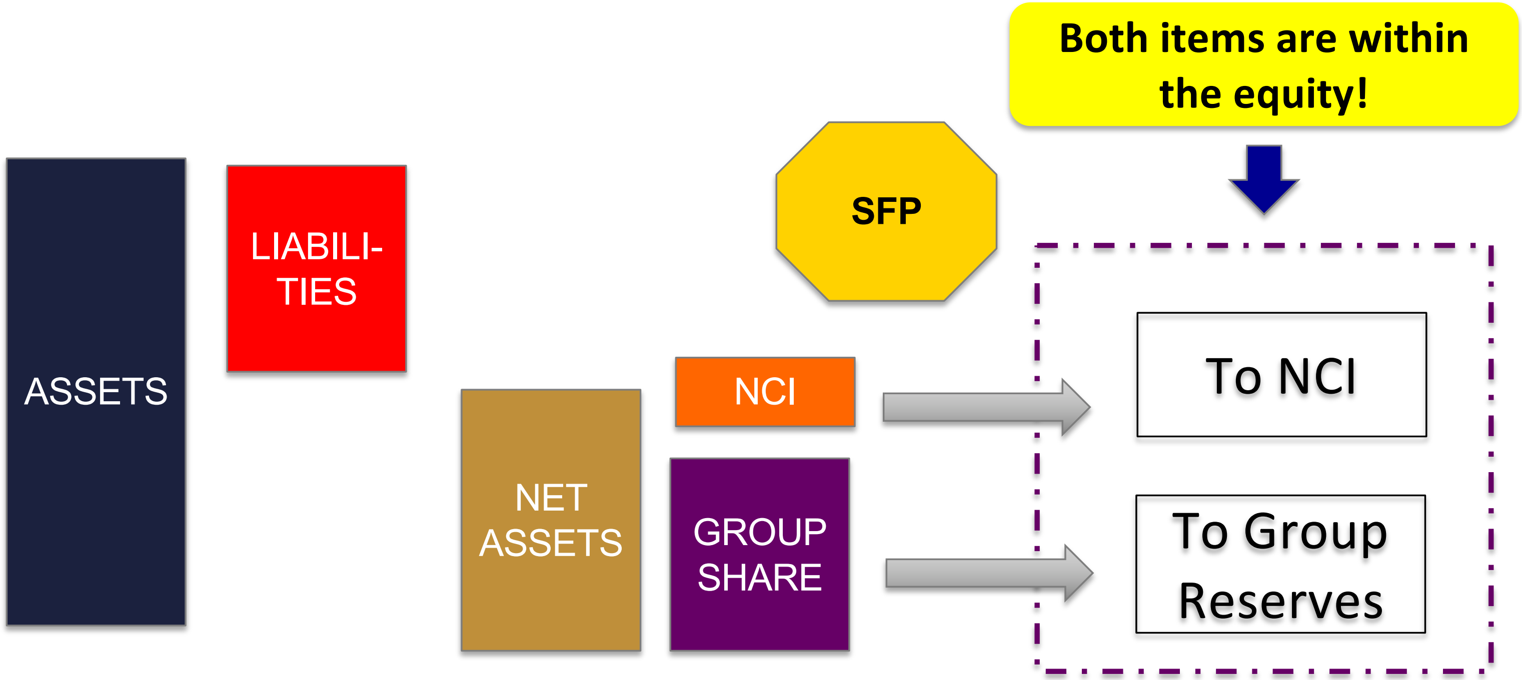
In the general business sense, mergers and consolidations are business combinations and may or may not involve the dissolution of the acquired firm(s).

Mergers and consolidations – at the very beginning – will involve only 100% acquisitions with the dissolution of the acquired firm(s). These assumptions will be relaxed in later.

“Consolidation” is also an accounting term used to describe the process of preparing consolidated financial statements for a parent and its subsidiaries.

Non controlling interest (NCI) (W4)

- The entity OWNs less than 100% but has the control (over all the net assets!)
- Remember! The SFP shows what assets and liabilities the group CONTROLs. The equity shows what the shareholders of the group OWN.



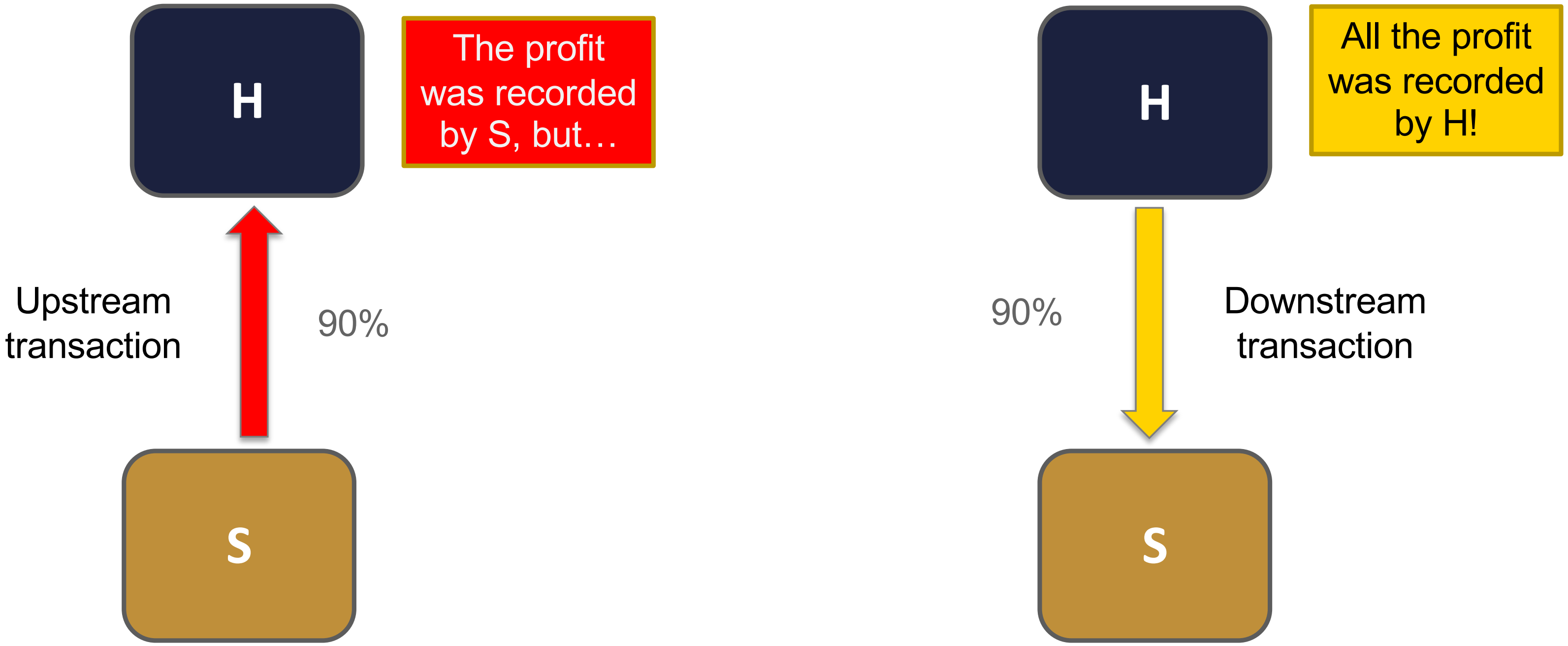
Intercompany trading – the rule

Intercompany items must be eliminated IN FULL

BALANCES	TRANSACTIONS
A/R, A/P, loans, etc…	Profit, Items “captured” in assets

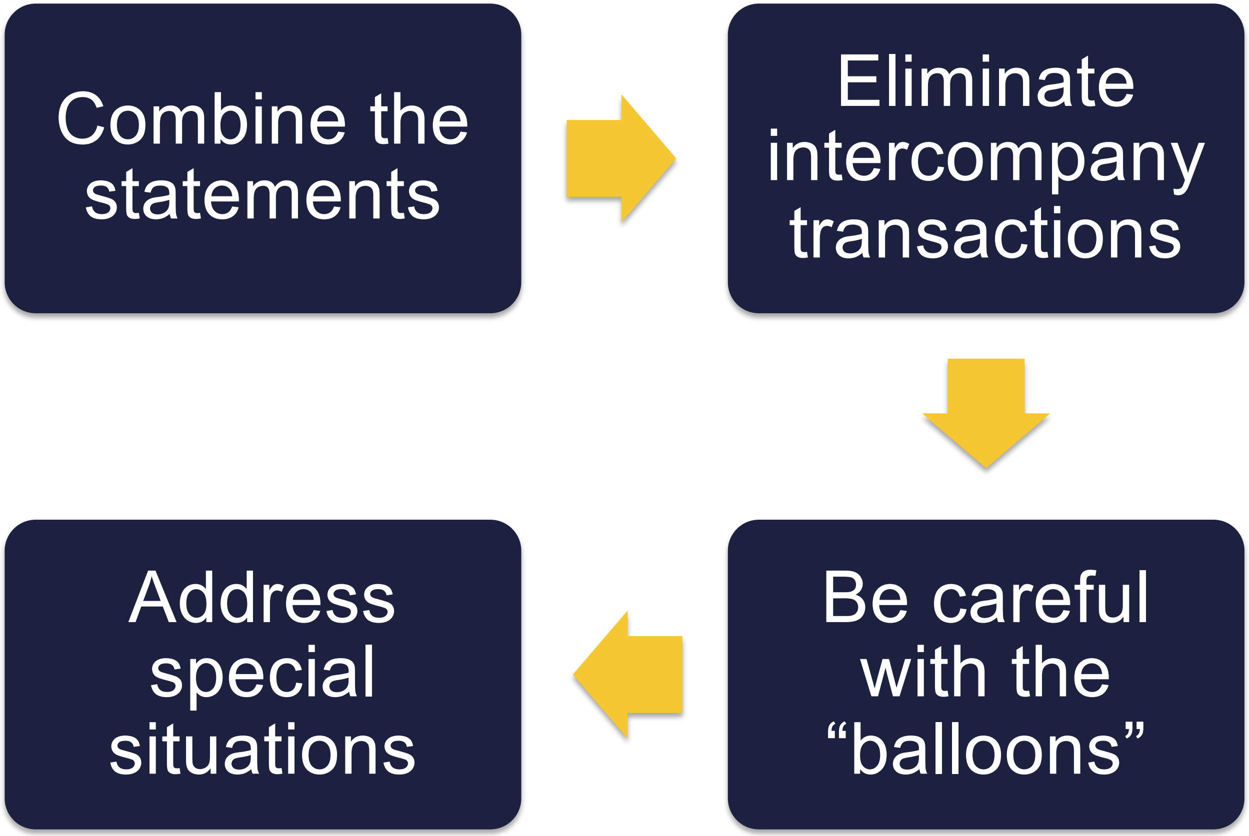
Intercompany trading and the NCI

Assume that H has 90% of S. There was a transaction that led to 100 revenue which included 10 profit. Does it make a difference if the profit goes up or down?



CONSOLIDATING THE STATEMENT OF COMPREHENSIVE INCOME

Statement of incomes



Special issues to address

- Dividends
  - from the group's point of view dividend is ONLY the dividend of the Parent Company
  - dividends from subsidiaries to the parent are eliminated (this is tricky!)
  - dividends from S to NCI ☺ (leave me alone…)

- Midyear acquisitions

ADDITIONAL RULES

Thank you for your attention!